

reducing exposure in this manner, the position would be reinstated on a market correction. Any time the market retraced to a correction reentry point, a net profit would be generated that otherwise would not have been realized. The choppy the market, the more excess profits trading around the position will generate. Even a trade in which the market fails to move in the intended direction on balance could still be profitable as a result of gains generated by lightening the total position on favorable trend moves and reinstating liquidated portions of the position on corrections. This strategy will also reduce the chances of being knocked out of a favorable position on a market correction because if the position has already been reduced, the correction will have less impact and may even be desired to reinstate the liquidated portion of the position. The only time this strategy will have a net adverse impact is if the market keeps on going in the intended direction without ever retracing to correction reentry levels. This negative outcome, however, simply means that the original trade was profitable, but that total profits are smaller than they would have been otherwise. In a nutshell, trading around a position will generate extra profits and increase the chances of staying with good trades at the expense of sometimes giving up a portion of profits on trades that move smoothly in the intended direction. For Balodimas, trading around a position is a critical ingredient in his overall trading success. Not infrequently, it even allows him to be profitable on trades where he's wrong.

## **15. Position Size Can Be More Important Than the Entry Price**

Too many traders focus only on the entry price and pay insufficient attention to the size of the position. Trading too large can result in good trades being liquidated at a loss because of fear. On the other hand, trading larger than normal when the profit potential appears to be much greater than the risk is one of the key ways in which many of the Market Wizards achieve superior returns. Trading smaller, or not at all, for lower probability trades and larger for higher probability trades can even transform a losing strategy into a winning one. For example, by varying the bet size based on